TAKE-PRIVATE INVESTMENT THESIS

Qualys, Inc.

A cash-generative, debt-free security compounder, repriced by a market that wasn't paying for the balance sheet

10.0x	4.5x	29.5%	5 yrs	2.29x	18.0%
ENTRY MULTIPLE	ENTRY LEVERAGE	OFFER PREMIUM	HOLD PERIOD	MOIC	GROSS IRR

THE PITCH

Qualys is a business a sponsor should be a little embarrassed not to look at. It throws off cash like a mature toll road, carries zero debt, and the stock just got marked down for reasons that have nothing to do with the underlying business. High margins, low capital intensity, a clean balance sheet, and a share price sitting well below where it traded a year ago — that combination is exactly what a disciplined buyout shop goes looking for, and rarely finds all in one place.

WHY IT WORKS

— **A business that actually prints cash.** FY2025 revenue of $669M grew 10%, at a 47% Adjusted EBITDA margin — the kind of unit economics most LBO targets can only pretend to have. This isn't a company that needs to be fixed; it needs to be funded properly. (The model does underwrite a brief, deliberate margin dip in Year 1 — 45.0% vs. FY25A's 46.8% — for standalone reporting build-out and change-of-control costs, before resuming expansion past the pre-deal level from Year 2 on; see the Assumptions tab.)

— **Nothing to clean up on the balance sheet.** No funded debt, ~$446M of cash. A sponsor isn't inheriting someone else's covenants or negotiating around legacy leverage — the capital structure gets built from scratch, on our terms.

— **The market handed us the discount.** At ~$76/share the stock sits well off its trailing highs. Even after paying a 30% take-private premium to get a deal done, we're underwriting entry at 10.0x EBITDA — a real discount to where quality cybersecurity SaaS names have historically traded.

— **Deleveraging does the heavy lifting, not hope.** At 4.5x entry leverage, the business's own free cash flow retires more than three-quarters of the debt in five years — leverage falls from 4.5x to roughly 1.0x with no help required from the exit market.

THE VALUE CREATION PLAN

We are not underwriting a turnaround, a re-rating, or a bet that a strategic buyer overpays on the way out. We are underwriting a debt paydown. Base case exit is the same 10.0x EBITDA multiple we pay at entry — no expansion required, no story about the market waking up. On that assumption alone, the deal returns 2.29x MOIC and an 18.0% gross IRR over a five-year hold.

Any recovery in the exit multiple toward where the sector has historically traded pushes returns past 20–25%+ IRR without changing a single operating assumption — that upside is optionality, not the plan. The full sensitivity grid (entry leverage × exit multiple) lives in the companion LBO model.

WHAT COULD GO WRONG

— **The moat is real but not unassailable.** Tenable, Rapid7, and platform players like CrowdStrike and Palo Alto are all pushing into exposure and vulnerability management. Qualys has to keep winning that fight, not just have won it historically.

— **Growth could decelerate faster than modeled.** We're already underwriting a step-down from ~8% to 7% growth by year five. If AI-driven security budgets cool further, the model has less room to absorb it than it looks.

— **No re-rating cushion if we're wrong on exit.** Because the base case doesn't rely on multiple expansion, it's also not protected if the exit multiple lands below 10x — returns compress quickly toward the low teens in that scenario.

— **This is a case study, not a live deal.** Qualys is not a known M&A target, and a real process would face diligence and financing dynamics no model can capture.

BOTTOM LINE

This is a credible, if unglamorous, buyout case: pay a fair price for a great balance sheet, let free cash flow do the deleveraging, and don't need the market to bail you out on exit. An 18% base-case IRR clears a typical sponsor hurdle without heroic *assumptions — exactly the kind of deal that should make an investment committee comfortable, not excited. Here, comfortable is the right emotion.*